

Empirical Specification

We estimate the macroeconomic effects of tariff shocks using as an example the local projection method proposed by Jordà (2005). For each horizon $k = 0, 1, \dots, H$, we estimate the following panel regression:

$$y_{i,t+k} - y_{i,t-1} = \alpha_i + \gamma_t + \beta_k \Delta Tariff_{i,t} \quad (1)$$

$$+ \theta_1 \Delta y_{i,t-1} + \theta_2 \Delta y_{i,t-2} \quad (2)$$

$$+ \theta_3 Tariff_{i,t-1} + \theta_4 Tariff_{i,t-2} \quad (3)$$

$$+ \theta_5 Exchange_{i,t-1} + \theta_6 Exchange_{i,t-2} \quad (4)$$

$$+ \theta_7 CA_{i,t-1} + \theta_8 CA_{i,t-2} + \varepsilon_{i,t}. \quad (5)$$

where:

- $y_{i,t}$ denotes the outcome variable (log real GDP),
- $\Delta Tariff_{i,t}$ is the change in the tariff rate,
- $Exchange_{i,t}$ denotes the log nominal exchange rate,
- $CA_{i,t}$ is the current account balance (as a percentage of GDP),
- α_i are country fixed effects,
- γ_t are time fixed effects,
- $\varepsilon_{i,t}$ is the error term.

The coefficient β_k traces the impulse response of output at horizon k to a tariff shock.